

It is important to fully internalize how dependent spending rates are on investment returns and the planning horizon. Naturally, lower returns support less spending. This is a key lesson to keep in mind for the subsequent discussion. We next move away from the assumption about fixed market returns in order to further consider the impact of market volatility on a retirement spending plan.

Further Reading

Milevsky, Moshe A. 2016. “It’s Time to Retire Ruin (Probabilities).” *Financial Analysts Journal* 72 (2): 8–12.

Milevsky, Moshe A., and Huaxiong Huang. 2011. “Spending Retirement on Planet Vulcan: The Impact of Longevity Risk Aversion on Optimal Withdrawal Rates.” *Financial Analysts Journal* 67 (2): 45–58.

Society of Actuaries and American Academy of Actuaries. 2016. “The Longevity Illustrator.” <http://www.longevityillustrator.org>.